

compounding of a Roth IRA. When you contribute to a Roth 401(k), you decide what percentage of your *after-tax* income your employer should subtract from your paycheck and deposit in your retirement account. Because of this, you don't get an upfront tax break, but the money grows *tax free* forever, just like a Roth IRA.

If you leave your job, you can move your Roth 401(k) into a Roth IRA or to your new company's Roth 401(k) if it has one. The rules for rolling over money from a Roth 401(k) are different than they are for traditional 401(k)s, so you'll need to check with your employee benefits office.

Most employers will make you choose one variety of 401(k) and stick with it. Although relatively few companies currently offer Roth 401(k)s, check to see if yours is one of them. If it is, the Roth 401(k) probably makes sense if you expect to be in a higher tax bracket when you retire. Likewise, if you can make the full \$16,500 contribution in post-tax dollars, the Roth is probably the winner. To help you decide, check out the *SmartMoney* calculator at www.smartmoney.com/retirement.

Q: They tell me I'm vested. What does that mean?

A: To be **vested** is to have a nonforfeitable right to the money your employer contributed to your retirement plan on your behalf. Most company retirement plans require you to work for the firm for a certain number of years before you become fully vested (meaning entitled to 100% of the money your employer contributed for you). Typically it takes about five years. Many companies have a gradual vesting policy. With a gradual schedule, you might be 20% vested after two years at a company, 40% after three years, and so on. Once you become vested, however, it doesn't mean you may withdraw your money without paying the 10% penalty and taxes on your earnings. If you're not vested and you need to get your money when you leave the firm, you can withdraw the money you contributed (plus earnings on those contributions), but you can't keep any of the money your employer contributed for you (or the earnings on those employer contributions). If you're partially vested, you'll get to keep a portion of the money your employer contributed for you, plus earnings. Knowing your company's vesting schedule can help you time a career move. Keep in mind that for vesting purposes, some companies consider a "year" of service to be less than a full calendar year (for instance, five months and a day). That's